BofA SECURITIES

Global Rates Weekly

OAT la la

The View: Cold feet into November

Risk appetite is fading fast. EGB spread widening accelerated, led by France, and global equities and credit have sold. Next week, five central banks will meet and the UK govt will present its budget. We will find out whether policymakers are getting cold feet too.

—S. Salim

Rates: October outlier

US: Oct FOMC, BofA = outlier: the 30Y bond = last lever to force a largely unpriced hike. Stable issuance at Nov refunding remains our base case but long end cuts possible.

EU: 10y OAT-Bund spread is now more sensitive to risk assets & data. Limited buying means path of least resistance is wider. Verbal intervention from the ECB likely needed.

AU: Hawkish RBA has raised the stakes for Nov RBA. We retain 2s10s flatteners ahead of next week's CPI print.

JP: We expect the BoJ to keep 1.25% policy rate unchanged next week; limited scope for repricing as additional hikes largely priced in. We favor 2s10s TONA swap steepeners.

—M. Cabana, B. Braizinha, R. Axel, K. Craig, E. Xiao, S. Salim, E. Davidsson, O. Levingston, I. Hartstein, & T. Yamashita

Inflation: UK long-end real rates attractive cross-market

UK: Our bull case for real yields has leant on prospective WAM shortening and possible future cuts to linker supply. Here we add a global aspect and a cross market trade.

—M. Capleton

Technicals: US 10Y retracement underway, patience to pay

In line with our views presented over the last few week, US 10Y yield's uptrend exhausted and a reversion is underway. We recap where to pay again.

—P. Ciana & J. Hartley

23 October 2026

Rates Research
Global

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Timestamp: 23 October 2026 12:09AM EDT

Core views, trades and forecasts

Exhibit 1: Global rates trade quilt
Views / trades in bold when changed / entered this week

	US	EU	UK	CA	JP	AU
Duration	Short 2y UST	Bullish bias	Bullish front-end bias	Long bias vs US	**Neutral**	Bearish front-end bias
Curve	Long 20y UST fly 2s30s flattener	2s10s flattener in options Steepening bias in 10s30s	1y fwd 2s10s steepener 15y-20y flattener	Flattening bias	**2s10s steepener**	2s10s flattener
Bases	Long Dec26 SOFR/FF Long M7 3m SOFR/FF		Sonia cheaper vs. Bank	CORRA cheaper vs deposit rate	TONA below IOER	Receive Dec '27 BOB
Inflation	Real yield curve flattener Long 10y20y infl. swap	1y fwd 2s10s real steepener BTPei 2041/56 sprd narrower	Short 10y5y RPI vs US Receive UKTi 35s-38s fwd RY			
Spreads	Long 2y ASW Long 30y ASW	Bearish bias in 5-10y ASW	Long low cpn 2y & 7y Gilts on Z-spread	Short front-end spreads vs US	Neutral	Tighter ACGB ASW bias
Vol	Long fwd vol Short 1y1y vs 1y10y Long 1y fwd 5s30 bear steep	Vol higher YE26, lower in '27 Long 3m2y rec 1x2 Frontend rec calendar			Vol supported Long left vs right, 2s10s flat, Short 6m1y 1x2	Vol supported near term 3m2y rec ladder Belly rec calendars

Source: BofA Global Research. Note: Red = short / steeper / tighter funding, green = long / flatter / looser funding. yellow = mixed, grey = neutral or n/a. Lighter shades = bias, darker shades = trade.

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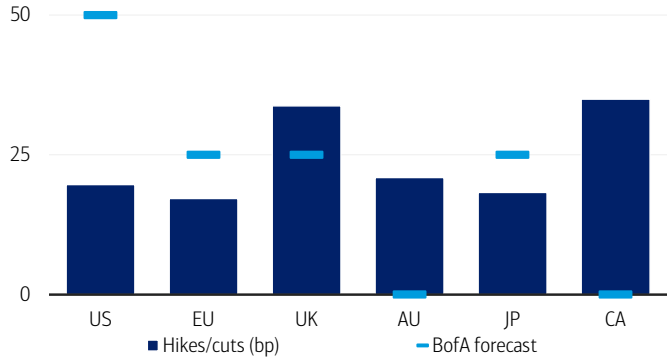
Exhibit 2: Rationale behind medium-term views
Global views

CBs	**US**: Fed to hike 75bp from Sep-Dec '26; **EU**: We expect one more ECB hike in Dec, but cuts in 2027-28 to sub 2% **UK**: Base case = two hikes (Nov-26 and Feb-27), but cuts by 2028,to 3.5%; **JP**: We expect an additional 25bp hike in Dec, following the 25bp hike in Sep; **AU**: base case: no further hikes, but Nov RBA hike still a risk **CA**: BoC on hold for '26 and '27 with risk priced for hikes
Duration	**US**: Short 2y UST as Fed seeks restrictive stance; **EU**: Long bias, with 10y showing reduced beta to a front-end selloff; **UK**: Long bias in front-end and in10y Gilts, with forecast for YE26 at 5.20%; **JP**: We now turn neutral on long-end; **AU**: long bias; **CA**: long bias vs US
Curves	**US**: 2s30s flattener as Fed looks more credible on inflation & long 20y UST fly as Treasury likely to cut / reduce long end issuance; **EU**: 2s10s curve can flatten further on higher energy prices, with steepening trend when it will be clear ECB is done hiking; **UK**: 1y fwd 2s10s Sonia steepener (front-end repricing, supply indigestion); maintain flattening trade in 15-20y; **JP**: we hold a 2s10s TONA swaps steepener; **AU**: 2s10s flattener **CA**: risk of BoC hikes = curve flattener bias
Bases	**US**: Long Dec SOFR/FF b/c of Fed asset purchases & central clearing + long M7 3m SOFR/FF for debt limit dynamics; **EU**: wider €str-Bor bias on rising funding pressures as ECB continues QT; **UK**: Sonia to tighten towards Bank Rate amid transition to a repo-led reserve supply framework; **JP**: Given significant excess reserves, we expect TONA to remain slightly below the IOER; **AU**: Receive Dec' '27 BOB; **CA**: CORRA to move higher vs depo in '26
Inflation	**US:** 1y1y vs 1y9y synthetic real yield curve flattener to trade lower front-end infl fwds + flatter nominal curve, long 10y20y infl swap due to Fed credibility risk; **EU**: We oppose fierce implied flattening in 2s10s real €str over 1y, and look for BTPei 2041/56 spread of z-spreads compression; **UK**: History justifies narrower 10y5y RPI vs US CPI, Receive UKTi 2035-38 forward real yield. Forward yield from UKTi 2031s->38s too cheap vs. swaps
Spreads	**US**: Long 2Y ASW with favorable carry & long 30y ASW as buybacks richen UST vs swaps; **EU**: bias for tighter swap spreads in 5-10y, favor SP over PO, GR over IT in EGB space; **UK**: Fiscal and political risks can cheapen Gilts vs swaps. We are only long low coupon Gilts vs swaps in 2y & 7y; **JP**: we closed our 30-year JGBs long on ASW given the widening already observed; **AU**: tighter ACGB ASW spreads as offshore demand outpaces supply. **CA**: short front-end spreads vs US on tighter funding conditions
Vol	**US:** Long fwd vol bias (short left vs right vol); **EU:** Vol supported into YE26 on ECB uncertainty, lower in '27 (long 3m2y rec 1x2); **JP** vol supported and outperforming other DM markets (short 6m1y 1x2); **AU:** vol supported near term lower medium term led by left side (rec calendars)

Source: BofA Global Research

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Exhibit 3: Pricing of hikes by YE26 (as of 22 Oct) vs BofA forecasts
BofA forecasts more hawkish than market pricing in US, EU, and Japan



Source: Bloomberg, BofA Global Research

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Exhibit 4: BofA forecasts for central bank policy rates & 10y yields
We provide condensed forecasts up to YE27

	% EoP	2024	2025	YE 26	Q1 27	Q2 27	YE 27
US	Fed Funds	4.375	3.625	4.375	4.375	4.375	4.375
	10y USTs	4.57	4.17	5.00	4.95	4.90	4.75
EU	ECB refi rate	3.15	2.15	2.90	2.90	2.90	2.40
	10y Bunds	2.36	2.85	3.40	3.25	3.10	2.80
JP	BoJ	0.25	0.75	1.50	1.75	1.75	2.00
	10y JGBs	1.09	2.06	3.00	3.10	3.10	3.05
UK	BoE base rate	4.75	3.75	4.00	4.25	4.25	4.25
	10y Gilts	4.56	4.48	5.20	5.25	5.25	5.25
AU	RBA cash rate	4.35	3.60	4.60	4.60	4.60	4.10
	10y ACGBs	4.36	4.74	5.15	5.10	5.05	4.95
CA	Corra	2.25	2.25	2.25	2.25	2.25	2.25
	10y Canada	3.22	3.43	4.00	4.05	4.05	4.10

Source: BofA Global Research. See Global rates forecasts for more.

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The View

Sphia Salim
MLI (UK)

What we are watching

Attention is firmly on risk assets. The equity sell-off, wider credit spreads and OAT-Bund breakout increasingly reinforce one another, adding momentum to the duration rally alongside the continued short covering by CTAs & bid for receivers (Exhibit 5).

Today's PMI releases are important as downside surprises can reinforce this dynamic, especially in Europe. After close, we will also get Moody's rating decision for France. If Moody's doesn't deliver a downgrade and simply reaffirms the negative outlook, the decision could offer some reprieve to OAT-Bunds. Absent a stabilization in spread, the pressure will be on the ECB to deliver at least some verbal intervention (Rates – EU),

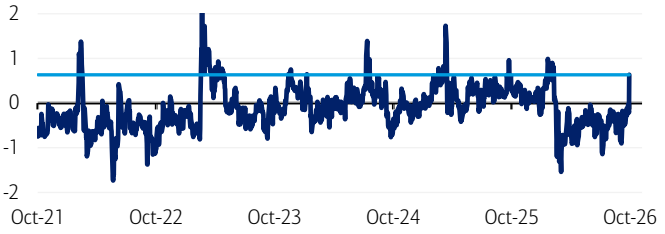
Five developed market central banks will meet next week (RBNZ, BoC, Fed, ECB and BoJ). We expect all of them bar the Fed to stay on hold. Consensus is still split for the RBNZ, but we believe the central bank will favor not disrupting the growth recovery and will wait until Dec to hike despite increased inflation risks. It is precisely the guidance around this trade-off that the market will focus on across all central bank meetings. In other words, will the language they adopt show that policymakers are getting cold feet given price action in risk assets and the challenges to growth?

For the Fed, our baseline of a hike is tied to our view that the economy remains strong with structurally elevated inflation. **We stay short 2y USTs.** The ECB will be cautious but is unlikely to rule out a Dec hike. We thus **favour EUR flatteners**, also supported by the fact that 10y Bunds are finally outperforming vs their post February beta to 1y1y. At the BoJ meeting, we expect only one dissent. We hold a **2s10s TONA swaps steepener** given the extent of the hikes already priced in (Rates – JP) and Exhibit 6.

In the UK, the chancellor will present his budget on Wed. We expect a cautious budget. Overall, we calculate a £10bn increase in funding needs, which we think can be covered with increased bill issuance (see Liquid Insight 14-Oct). The rally in Gilt this week, when EGB spreads widened, testifies of the comfort markets have on the fiscal rules being respected in the UK. **Our 1y fwd 2s10s steepener**, while positioning for less BoE hikes than currently implied, also hedges against an upward surprise in Gilt supply.

In Australia, Q3 CPI release will be a decisive factor for the Nov meeting (Rates – AU).

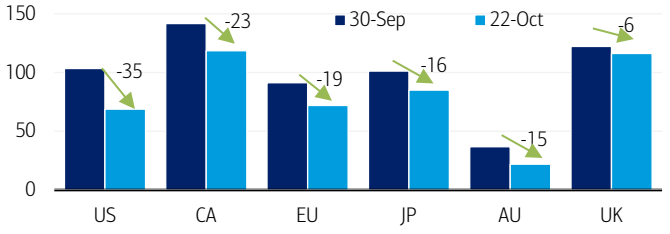
Exhibit 5: Richening of the TY call vs put skew back to pre war highs
1M TY skew (implied vol of 25 delta call option minus that of 25 delta put)



Source: Bloomberg, BofA Global Research

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Exhibit 6: Markets priced out some policy tightening across all regions
1y1y OIS minus spot overnight rate: as of Sep 30th & latest (and changes), bp



Source: Bloomberg, BofA Global Research

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What we learned

French OAT-Bunds broke above their recent intra-day high, reaching their widest levels since the height of the sovereign crisis. Demonstrations over the weekend and a lack of liquidity exacerbated the moves. Developments on the US-Iran front led to a surge in oil prices, supporting the risk-off and global equities sold off as earnings releases failed to drive a recovery in sentiment. 10y USTs rallied to below 5%. The front-end also joined the rally this week, extending the CTA short covering to that part of the curve.

Rates – US

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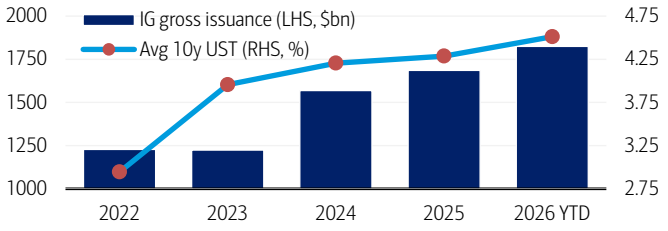
- Oct FOMC, BofA = outlier; 30Y bond = the last lever to force a largely unpriced hike.
- Heading into Nov refunding, stable issuance remains our base case but long end cuts are possible.
- Further CTA short covering poses as a near-term risk to our pay 2Y position.

October outlier

Our views: **duration** = pay 2Y; **curve** = 2s30s flattener; **inflation**: long 10y20y infl swap; **spreads** = long 2y & 30y ASW; **funding** = long Dec '26, M7 SOFR/ff; **vol** = 2s10s floor ladders, 15m1y vs 3m1y receiver calendars. Near-term risks include geopolitical risk-off driving equity and energy market volatility.

Warsh's lack of pushback on market pricing helped set up front end for an asymmetric response going into next week's FOMC: Fed holds = front end nearly unchanged, Fed hikes = large front-end selloff (+ long-end rally). For 4 Nov Treasury refunding, UST dealer survey modestly increased our expectation of 20 & 30Y Nov cuts but we recognize friction for early action. Base case (low conviction) remains no 20/30y cuts in Nov (more below).

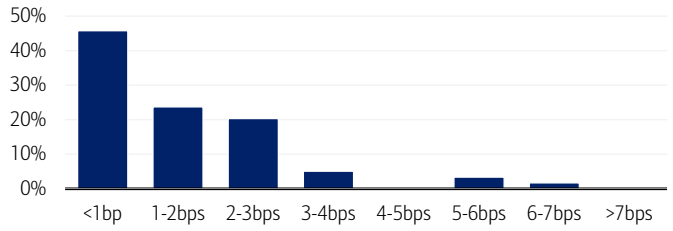
Exhibit 7: IG supply even ex-AI remained robust despite jump in rates
Corporate issuance does not show evidence of restrictive rate levels



Source: Bloomberg

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Exhibit 8: 90% of historical hawkish Fed surprises are <=3bps
Distribution of market pricing 2d prior to hawkish FOMC surprise since '09



Source: Bloomberg, BofA Global Research

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For Oct FOMC, our BofA economists are the outlier still looking for an Oct hike. A hike with so little priced (1.7bps, 6.9% odds) would be unprecedented (Exhibit 8). Econ's argument: (1) data, esp CPI, (2) boosts Fed independence (see: hunt for Fed October), (3) tightens financial conditions more than delivering on forwards. The market has essentially priced a quarterly hike cycle like 2017-18. While plausible, we think inflation levels and inflation risks do not currently justify a quarterly pace, especially given how resilient US growth and inflation have been with 4% 10y average rate since 2022, vs 2% in the decade prior.

Bond is last lever to force Oct Fed hike, time is short

We agree with BofA US Economics team's view that Fed ***should*** hike but we view markets as pricing a Fed that is (1) confident in their dovish inflation forecasts, (2) waiting until the election is past, and (3) ok with a quarterly cadence given credit risks that emerge at higher rates.

While bond yields have been contained due to risk-off flows from geopols, French credit fears, tech earnings, and telecom spreads, if fears dissipate and bond yields spike ahead of FOMC, it could bring a surprise hike.

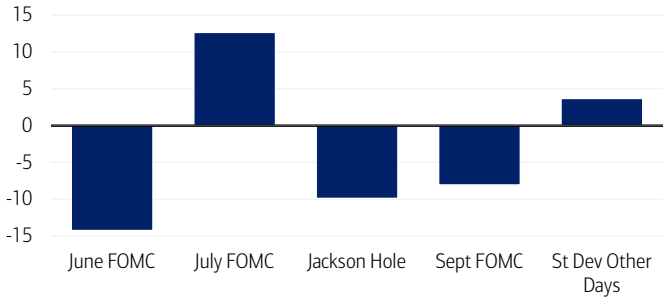
If Fed holds, we see risks of bear steepening following an unconvincing press conference. Warsh will likely struggle to justify the hold, in our view, particularly if his answers are lengthy and lack clarity. Such a press conference could reignite Fed

credibility concerns, as after the July FOMC. We would ballpark 2s30s curve bear steepens 5-7bps (roughly half the 12.5bp steepening move following the July FOMC) in the event of a hold accompanied by an unconvincing press conference.

Warsh has been a significant driver of swings in the 2s30s nominal curve since becoming Fed Chair. Each Warsh FOMC meeting and Jackson Hole has coincided with a 2-4 standard deviation move in 2s30s vs other non-Fed dates since his swearing-in (May 22; Exhibit 9). We think Warsh's impact on the curve has been significant given shifting communication amidst ongoing concerns around Fed credibility. The market has yet to establish a clear view of Warsh's reaction function, and we think uncertainty remains high.

Uncertainty around Warsh and Fed credibility makes the nominal curve difficult to trade. We see tactical bear-steepening risk around the October FOMC. We retain our thematic 2s30s nominal curve flattener because we expect Fed hikes will eventually catch up with inflation. Tactical views are driven by uncertainty around Warsh and Fed credibility while our thematic views are more fundamentals driven.

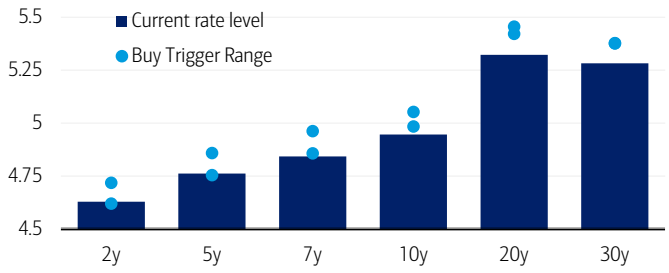
Exhibit 9: 2s30s nominal rate curve changes under Warsh Fed (bp)
Warsh policy communications have resulted in very large curve moves



Source: Bloomberg

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Exhibit 10: Rate level and CTA short covering range (%)
CTA short covering across the curve as of 22 Oct. Buy range as of 21 Oct



Source: BofA Global Research, Note: buy trigger range reflects highest likelihood rate level where CTAs will cover shorts. Current rate level > buy trigger range implies shorts not yet covered.

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Short covering in style

CTA short covering continues from last week, reversing selloffs earlier in the week. We wrote last week of CTA covering in the long end; finally the front end catches up (see note, Tactial rates reprieve, 18 Oct). A further decline in 2Y rates could bring about more substantial covering, posing a risk to our pay 2Y position. Our bias echoes our Technical strategists: be patient and sell the rate rally (see Technicals).

UST dealer survey: door is open for long end cuts

Friday's UST dealer survey opened the door to potential long end cuts. It asked dealers about "structural changes in investor demand" & "future changes to auction sizes". The questions don't suggest an activist / urgent reduction in long end issuance but the door is open. If broad dealer feedback is that demand at long-end < supply, UST may consider cut. Nov would be fast but not impossible even with "several quarters" language in Aug.

Our low conviction base case is for stable coupon sizes in Nov but see high risk of long-end size cuts. We assign 40-50% odds of a Nov long end coupon cut based on the dealer Q. We have long believed UST long end supply > demand which justifies 20-30Y cuts.

A bond spike between now and Nov refunding (Nov 4) would increase odds Bessent gets more activist and reduces long-end issuance without guiding market first. There was no dealer question / TBAC charge on upsized long-end buybacks before Aug. announcement.

The possibility of UST long end supply cuts keeps us constructive on 30Y spreads. We expect communications at Nov refunding that keep the possibility of cuts in coming quarters live. If UST surprises us & reduces long end sizes, it should see 30Y spreads widen 2-3bps (see note: US debt FAQ: debt spiral & interest costs).

Bottom line: the 30Y bond may be the remaining market lever that could force the Fed to hike. We retain our thematic 2s30s flattener despite tactical bear-steepening risk on a hold. Potential November supply cuts support 30Y spreads; CTA short covering poses a near-term risk to pay 2Y, but we favor selling the rate rally.

Rates – EU

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BofA Europe (Madrid)

Evelyn Herrmann
BofASE (France)

- ECB likely to hold next week, leaning slightly dovish on tighter financial conditions.
- 10y OAT-Bund spread is now more sensitive to risk assets & data. Limited buying means path of least resistance is wider. Expect verbal intervention from ECB.

ECB: Avoiding a repeat of September

We expect the ECB to leave policy rates unchanged next week. The news since the Sep meeting has been largely dominated by two developments: (1) Energy prices surprised the ECB baseline to the upside, (2) financial conditions have tightened and, if sustained, could break something. We think the ECB will try to avoid a repeat of the aftermath of the Sep meeting and is likely to lean marginally dovish. Given the evolution of markets over the past few days, sounding hawkish would trigger renewed front-end sell-off and widening in EGB spreads, with the risk that something breaks.

We expect some of the recent ECB commentary, in particular from President Lagarde, to feature prominently in the press conference: (a) the emphasis that rates do not need to react one-for-one with energy prices, (b) that financial conditions have tightened significantly, and (c) that we are still in a measured-adjustment scenario. Beyond that, communication will need to keep an implicit hiking bias given the more persistent shock.

Finally, Lagarde will need to somehow address the elephant in the room: long-term rates and spreads. We think it's too early for any action, but we would not be surprised to see some verbal intervention already. That could come in the form of a reminder that the ECB has tools to address deviations from fundamentals. It could also involve a suggestion that QT could be temporarily paused if market conditions were to remain volatile and disorderly for a while. We note that PEPP redemptions of official sector bonds in Nov-Dec total €21bn, equivalent to the EGB supply we estimate will be delivered to private investors in those months, net of coupons & private redemptions. The advantage of considering a pause to PEPP QT, as opposed to APP is that PEPP has the advantage of flexibility in terms of country of reinvestments.

Overall, we expect the ECB meeting to be bullish for the belly of the EUR curve. We flag also that 10y Bunds are finally outperforming vs their relationship to 1y1y since March. This means that a long 10y position can be more isolated from rallies in energy.

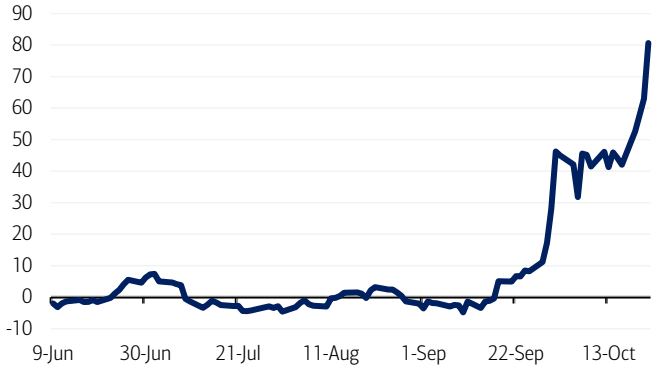
France: 10y OAT-Bunds breaking through previous highs

In Sep, we highlighted that the initial widening in 10y OAT-Bunds was directional, consistent with higher interest expenditures complicating the budgetary outlook. The acceleration in the widening at the end of Sep was then partly driven by technical factors (see French bonds: what next?). Now, OAT-Bunds appear sensitive to a broader range of factors, including equity selloffs, US-Iran headlines, and neg macro data, leaving 10y OAT-Bund 80bp wide vs 1y1y (Exhibit 11) & 35bp based on other EGBs (Exhibit 12).

Key dates & events ahead: a mixed balance

The balance of upcoming risks remains mixed (see European Rates Watch: 21 Oct for key dates and their relevance). Potential positives include Moody's maintaining France's rating on Oct 23rd and the possibility of the govt's budget plan targeting a 5% deficit target being adopted via Ordonnance in Dec (see: Paris fieldtrip notes). Against this, concerns are growing that protests could develop into a "Yellow Vest"- type movement, while downside economic data surprises and noise during the parliamentary debates would weigh on French bonds.

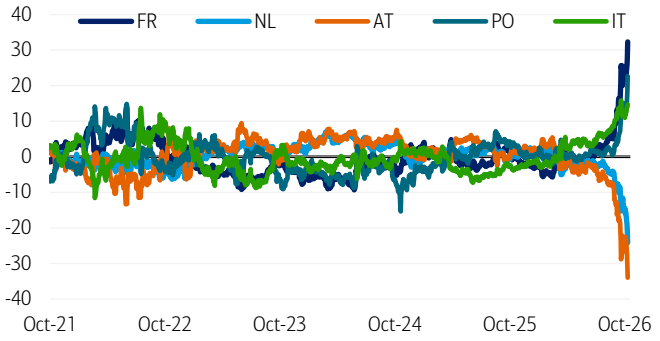
Exhibit 11: 10y OAT-Bund spread appears 80bp wide * vs front-end
Residual of 10y OAT-Bund spread based on relationship to 1y1y in Jun-Sep.



Source: BofA Global Research. (*) As of 22-Oct close

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Exhibit 12: EGB spreads to Bunds are diverging dramatically from their fair values based on their joint dynamics since 2020 (FR, PO & IT cheap)
Residual based on the first two principal components of 10y EGB spreads



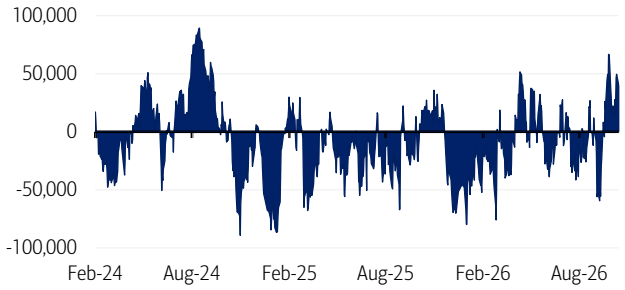
Source: BofA Global Research. Based on data since Oct 2020. Latest 22-Oc-26

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Positioning & flows still a risk

After initial profit taking on 5-6 Oct, following some investors fading the widening seen start of Oct, shorts positions have been reduced more so than longs, leaving positioning net long (Exhibit 13), and gross outstanding longs remain 14% above Sep 10th levels (Exhibit 14). A stabilisation in the spread is needed to drive new longs.

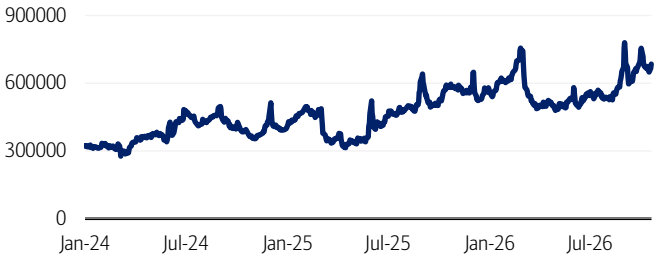
Exhibit 13: Net positioning by A-accounts in OAT contract is long
Futures positioning in OAT, net open interest (longs-shorts) of A-accounts



Source: Deutsche Börse AG - Eurex Flows Insights, BofA Global Research. Data is from Jan-2024 to YTD. * Latest data is from 20-Oct. numbers in 1000s

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Exhibit 14: Gross long positioning by A-accounts in OAT still >10% higher than in 2nd week of Sep (Sep 10th)
Futures positioning in OAT, gross long open interest of A-accounts

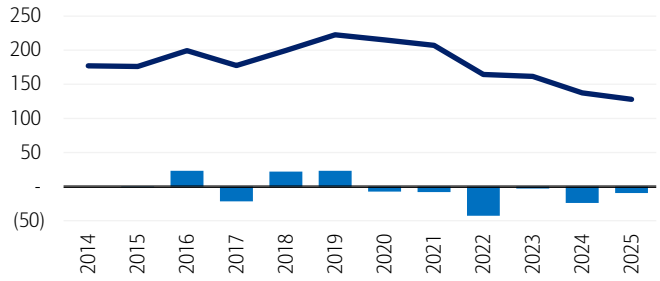


Source: Deutsche Börse AG - Eurex Flows Insights, BofA Global Research. Data is from Jan-2024 to YTD. * Latest data is from 20-Oct. numbers in 1000s

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If the widening persists, beyond limited buyers, concerns will rise about forced selling. Recently, Qs have centred on JP investors. We note they have already reduced their exposure to all types of French bonds in '22, and '24 post dissolution (Exhibit 15). The Japan MoF data suggest that the reduction was most significant in OATs (Exhibit 16).

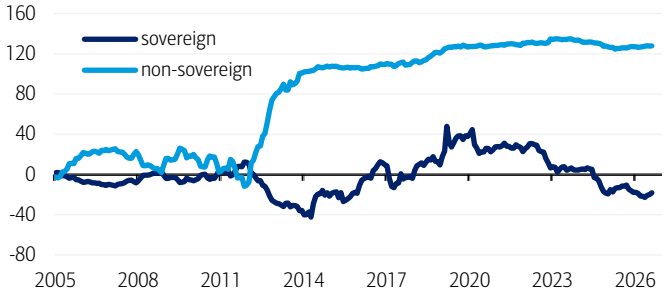
Exhibit 15: Japan holdings of French debt securities peaked in 2019
Japan portfolio investments in long term French debt securities (BofA est. of bn EUR values * and yearly changes)



Source: BoJ, BofA Global Research. (*) Bn EUR values calculated based on EURJPY level at each YE. note: French debt securities here include non-sovereign securities too.

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Exhibit 16: Japanese investors have sold 73% of the French sovereign bonds they had bought from May-14 to Feb-20
Cumulative net buying of French debt securities (*) since Jan-05, bn EUR



Source: Japan MoF, Bloomberg, BofA Global Research (*) short term and long term

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Rates – AU

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- November is now a close call after the Deputy Governor's comments.
- Our economists forecast 0.9% q/q for trimmed mean inflation, which we think would leave markets pricing a 70–80% chance of a hike.
- We continue to recommend 2s10s flatteners given risks of further RBA hikes and UST flattening.

RBA expectations ramp up on hawkish comments

Following hawkish comments from Deputy Governor Hauser, front-end pricing has moved higher, with 15bp of hikes priced for the November meeting and 22bp by December. **Bottom line:** In our view, the Deputy Governor's comments were intended to recalibrate the message from the Governor's September press conference and restore optionality at the November meeting.

The Deputy Governor noted the outlook for inflation had materially worsened since the RBA's August forecasts, partly reflecting elevated oil prices. There was some discussion of the labour market easing and consumption slowing, but Hauser appeared to downplay labour market conditions amid a strong focus on the inflation outlook.

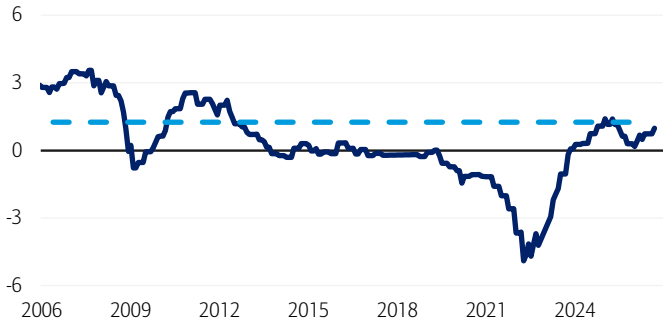
Next week's CPI print will be the deciding factor

Our economists are forecasting a trimmed mean inflation print of 0.9% q/q. In their view, the RBA would leave the cash rate on hold, but we see market pricing moving to 70-80% probability of a hike in this scenario. A >0.9% q/q print or hawkish details (e.g. stronger market services or dwelling costs) would prompt a hike and taking the real cash back to around its previous cycle peak (Exhibit 17). We had recommended paying Nov OIS for some time but closed the position prematurely after last week's softer labour data while retaining our 2s10s flattener.

We continue to recommend 2s10s flatteners

We continue to recommend 2s10s flatteners amid risks of further RBA hikes (current: 33p, entry: 36bp, target: 10bp, stop: 50bp). We still see scope for curves to flatten: (1) the 2y point is likely to remain elevated amid upside domestic inflation risks even if USTs rally (Exhibit 18), (2) expectations that the RBA will need to unwind aggressive tightening over the medium-term anchors the 10y 3) duration is cheap and strong US data could continue to flatten USTs and pull AU curves in the same direction.

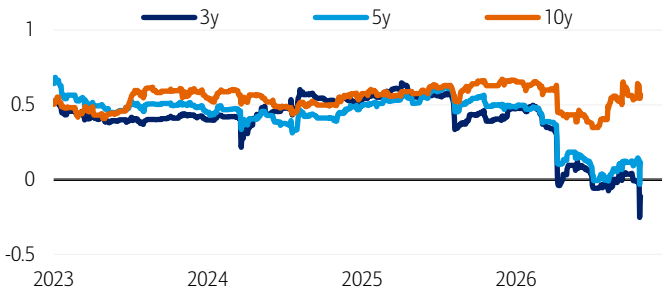
Exhibit 17: In the last hiking cycle the real cash rate reached ~1.25%
Real cash rate* (%)



Source: Bloomberg; BofA Global Research *real cash rate = cash rate less trimmed mean inflation

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Exhibit 18: 3y and 5y ACGB yields are no longer responsive to UST rallies while 10y sensitivity is very stable over time
Rolling 12m betas of ACGB yield given a >3bp rally in UST yield over 5-days



Source: Bloomberg; BofA Global Research

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Rates – JP

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- We expect the BoJ to keep the policy rate unchanged at 1.25% next week. Limited scope for further front-end repricing as additional BoJ hikes are largely priced in; favor 2s10s TONA swap steepeners.

This is an excerpt of BoJ preview: Now for the hard part, 23 Oct 2026

BoJ preview: Hold at 1.25%; likely 8-1 vote

We expect the BoJ policy board to keep the policy rate unchanged at 1.25% at its meeting next week. The most likely vote is 8-1, with hawkish board member Takata casting the lone dissent in favor of a hike. However, we do not think support for a back-to-back hike has spread beyond the most hawkish members of the board. Governor Ueda set a fairly high bar for back-to-back or outsized (>25bp) hikes in his post-Sep MPM press conference, stating that such a scenario "would require either a significant risk of 'underlying inflation' accelerating well above target, or evidence that inflation has already overshot the target." The Summary of Opinions from the Sep MPM also did not suggest any urgency within the board for a back-to-back hike (see BoJ Watch: Sep MPM SoO: No rush toward an October hike, 1 October 2026).

Data released since the September MPM, including the latest readings on inflation expectations from the September BoJ Tankan and BoJ Household Opinion Survey, are unlikely to raise concerns among board members that the risk of an overshoot has risen (see Inflation expectations take a breather, but upside risks remain, 14 October 2026).

Note that our US economists expect the Fed to hike at next week's FOMC meeting, while markets price only a ~15% probability (see Federal Reserve Watch: The hunt for Fed October, 19 October 2026). A surprise Fed hike could initially support the dollar, though a broader risk-off move could also strengthen the yen. In any case, we do not think a surprise Fed hike would prompt a back-to-back BoJ hike.

Oct MPM unlikely to lift front-end rates

The BoJ is widely expected to leave its policy rate unchanged at the October 29-30 MPM. The market will instead focus on whether the BoJ judges underlying inflation to have reached its 2% target and, if it leaves the policy rate unchanged, how many Policy Board members dissent in favor of a 25bp hike.

That said, we believe there is limited scope for the October meeting to trigger a further upward repricing of the front-end of the yen rates curve. The market-implied probability of a 25bp rate hike at the December meeting has already risen above 70%, and a 25bp December hike was also the consensus in QUICK's survey of domestic bond market participants conducted from September 29 to October 1. In addition, the 1-year forward 1-year OIS rate is trading around 2.15%, suggesting that the market has already priced in further policy rate hikes. As a result, even if several hawkish signals emerge from the October meeting, they are unlikely to push front-end rates materially higher.

The market appears to have a flattening bias toward the yen rates curve. However, given that the front-end has already priced in additional rate hikes, we see limited room for another meaningful rise in front-end rates triggered by the October MPM. Meanwhile, fiscal policy uncertainty is likely to persist, with the current Diet session scheduled to run through December 12. Against this backdrop, we continue to favor a 2s10s TONA swap steepener (see Japan Rates Alpha: Recommend 2s10s TONA swap steepener, 16 October 2026).

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- JGB auctions have gone smoothly so far in October, including the 20-year auction on October 20.
- September flows show stronger buying by life insurers and foreign investors. Although we cannot confirm that pension buying was behind the solid auctions, potential pension buying could reinforce the flattening bias and spur further demand from private investors.

This is an excerpt of Japan Rates Watch, 20 October 2026

JGB Flows: Super-long demand is coming back

The September Japan Securities Dealers Association (JSDA) investor flow data pointed to strengthening demand for JGBs. After net selling in June–July and modest net buying in August, foreign investors stepped up their purchases substantially in September, buying a net ¥4.5tn of JGBs. This included ¥3.7tn of medium-term JGBs and ¥1.1tn of super-long JGBs.

Life insurer demand has also strengthened in the super-long sector. Net purchases of super-long JGBs increased from ¥300bn in August to ¥530bn in September. Life insurers were net sellers of ¥2.1tn in FY2025, but their annualized pace of net purchases in 1H FY2026 reached ¥3.8tn. Major Japanese life insurers are slated to disclose their investment plans for 2H FY2026 shortly, and at this stage, their overall appetite for long-end JGBs appears to be gradually increasing. While life insurer demand alone may not be sufficient to drive a further decline in long-end yields, when combined with foreign investor buying, it could help contain upward pressure on yields in the sector.

By contrast, city banks were net sellers across the curve in September. In medium-term JGBs, they shifted from net purchases of ¥1.2tn in August to net sales of around ¥2.1tn in September. However, city bank flows tend to be volatile from month to month, so we would not interpret the September data as a signal of sustained selling pressure on JGBs.

Overall, the September flow data suggest that selling by banks was absorbed by purchases from foreign investors and life insurers. In the super-long sector in particular, stronger life insurer demand was accompanied by foreign investor buying, suggesting that the prevailing investor bias remains toward curve flattening.

Indeed, the 20-year JGB auction on October 20 delivered a strong result, while JGB auctions this month have generally gone smoothly. At this stage, we cannot conclude that these flows also reflect demand from Japanese public pension funds. However, speculation over potential pension-fund inflows into the JGB market could reinforce the flattening bias.

Inflation – UK

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- Our bull case for real yields has leant on prospective WAM shortening and possible future cuts to linker supply. Here we add a global aspect and a cross market trade.

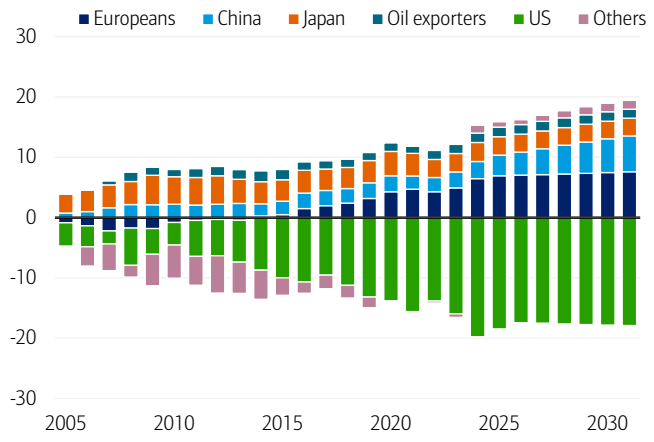
This article is an extract from Tuesday's Liquid Insight

UK long-end real rates attractive cross-market

With a new IMF World Economic Outlook (WEO) out, we revisit our global imbalances framework, relating countries' International Investment Positions (IIPs) to their real yields. In the past this has favored Euro real rates relative to peers. Not this time. Data revisions, improving the IIP statistics for the US and UK, and the outperformance of Euro real rates have changed things. Of the "Big 3" inflation markets, the UK now looks most attractive by this metric. The Gilt market's famously long WAM has gone from being as a source of stability (reducing refinancing risk) to being a source of fragility (because of the "duration overhang"). The good news is that the DMO is addressing this and has scope to do more in the Budget and beyond. We expect a narrowing in forward real rate differences against Euro equivalents.

Global imbalances and real yields, revisited

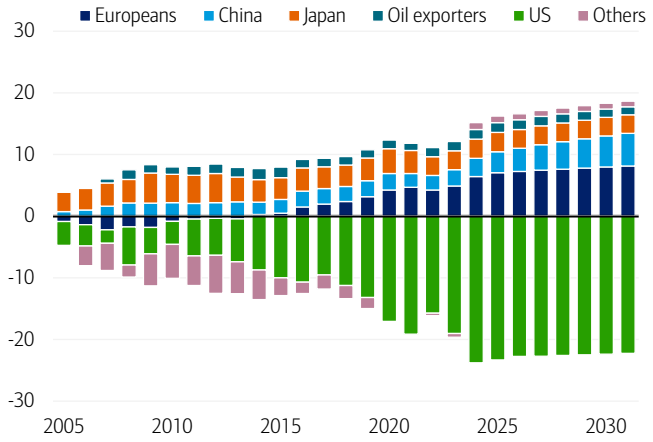
Exhibit 19: Revisions bring imbalances into balance…
Country/Group International Investment Positions (IIPs)/global GDP, %



Source: IMF World Economic Outlook, October 2026

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Exhibit 20: …whereas in April the numbers didn't quite add up
Country/Group IIPs as share of global GDP, %



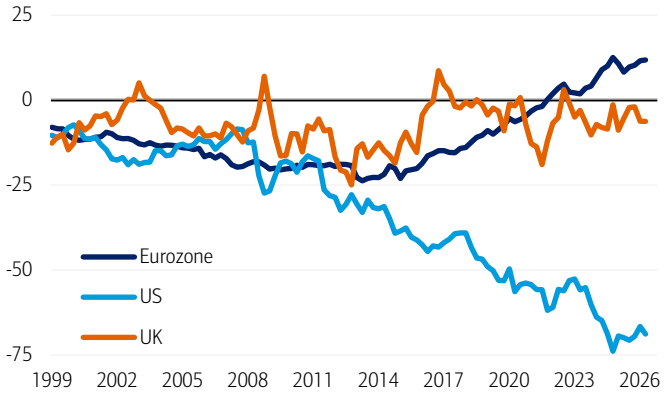
Source: IMF World Economic Outlook, April 2026

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Back revisions to US data since the April edition of the WEO have improved its past and projected IIP shortfall as a share of global GDP, reducing the discrepancy between the total creditor and debtor balances (Exhibit 19 and Exhibit 20). Although the level of the US's IIP/GDP position has improved, the relative trajectory compared to the Eurozone is no less striking (Exhibit 21). However, the widening in the real yield difference, in combination with the narrower IIP/GDP difference, means that we can no longer argue that US real yields are expensive versus euro equivalents on these grounds.

The central tenet here is that countries that are reliant on imported capital need to offer higher prospective real returns to attract and retain it. Exhibit 22 is the usual chart we have used to support this thesis, showing the inverse relationship between countries' 10y real yields and their IIP/GDP positions.

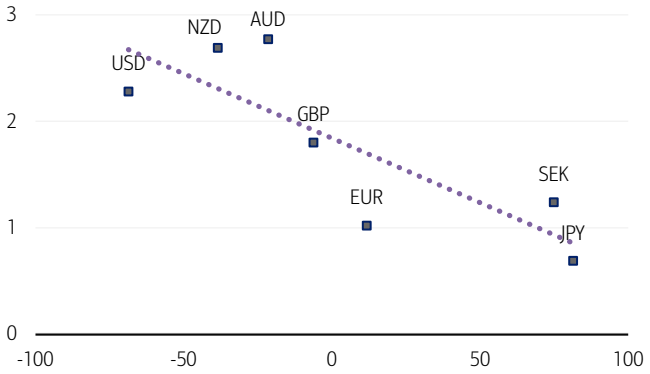
Exhibit 21: US and Euro IIPs diverge, UK returns close to balance
US and Eurozone IIP/GDP ratios, %.



Source: BofA Global Research, LSEG Data & Analytics

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Exhibit 22: UK now looks the cheapest of the "big 3" linker markets
10y real rates, using real swap rates for markets shown red, linker real yields for others. UKTi real yields adjusted for RPI "wedge" to 2030 reform date, %



Source BofA Global Research, LSEG Data & Analytics, Bloomberg

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In Exhibit 22 we have replaced inflation-linked bond yields with real swap rates, now that the "idiosyncratic" component of the OATei real yield is too large to ignore.

The UK now stands out among the "big three" linker markets in real yield terms

It is now tempting to suggest considering real yield switches out of the Eurozone into the US. However, we think that the easier case to be made is for shorting Euro real rates against the UK. Back revisions have also improved the UK's IIP position substantially. Surprisingly, for an economy that continues to rack-up persistent current account deficits, the UK's IIP/GDP ratio was only 6.2% in Q2, and it looks highly attractive versus the Eurozone in Exhibit 22. Given the relative real curve shapes (e.g., by comparing 5y5y and 10y20y differences between real Sonia and real €str rates), we prefer to express the view farther out on the curve.

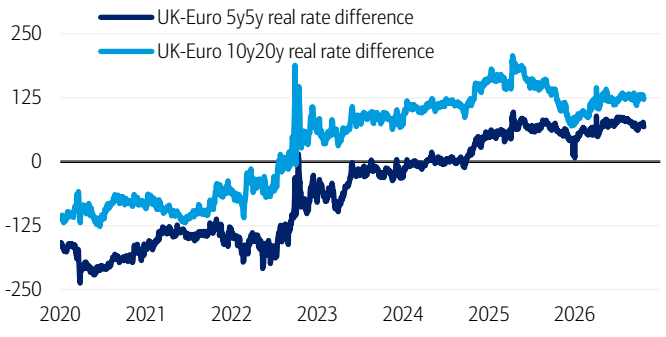
Exhibit 23: UK real rates priced to rise to far versus Euro equivalents
Forward spreads between "Real Sonia" and "Real €str" rates, bp. Grey shaded rates are complicated by RPI reform. 5y5y and 10y20y spreads highlighted.

	Years forward									
Tenor	0	1	2	3	4	5	10	15	20	30
1	12	23	12	58	37	56	78	113	143	135
2	17	18	35	47	46	59	79	117	145	134
3	16	31	36	50	52	62	79	120	147	134
4	26	33	41	53	56	65	81	124	148	133
5	29	38	45	56	59	67	83	127	149	133
10	48	54	59	65	68	74	104	138	146	130
15	57	64	69	77	82	89	117	140	145	125
20	71	77	83	90	95	101	124	142	144	120
30	91	96	101	106	110	115	134	145	141	131
50	115	119	123	127	131	135	151	160	160	153

Source: BofA Global Research

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Exhibit 24: WAM shortening can reverse UK underperformance
Forward UK-Euro real rate spreads, bp.



Source: BofA Global Research, Bloomberg

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The trade

In the Global Rates Weekly (see note) two weeks ago, we discussed the appeal of UK real rates from a purely domestic standpoint, focusing on prospects for WAM reduction and possible future supply cuts in linkers as the DMO grows the TBill market. This adds a global aspect.

In Tuesday's Liquid Insight (see note), we recommended receiving 10y20y real Sonia rates against paying the real €str equivalent, for a pick-up of 130bp, setting a target at 90bp and a stop at 150bp (currently 124bp). Risk to the trade is material fiscal slippage in the UK.

Technicals

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US 10Y: Correction underway, reiterate patience to pay

- In line with our views over the last few weeks, the US 10Y yield's uptrend exhausted, marked a tactical peak, and has begun to retrace part of its YTD rise.
- We view this as corrective, and not a larger trend change. We'll first assess whether to pay US 10Y in the 5.02-4.92% yield support area, however, an accelerated decline could approach ~4.81%. Our patterns suggest it should not decline below 4.74%.
- Signs of downside exhaustion and a bottom in the daily chart of US 10Y yield would favor paying for the uptrend in yield to resume to and above the YTD highs.

US 10Y Yield Weekly: Correction underway, patience required, then pay again

Our wave count remains consistent with a wave iv pullback following a mature wave iii of (iii) of 3 up. However, momentum and positioning unwinds favor patience and identify a bottom either in the 5.02-4.92% yield support area, or closer to 4.81%. Below 4.74% will challenge our short-term pay bias, within a medium- and long -term pay bias.

Chart 1: US 10Y yield retracement underway. First yield support is about 4.92%, larger CTA stop out could lead to 4.81%. While above 4.74%, we're bearish.
US 10Y yield weekly candles, 50wk SMA, 200wk SMA, RSI, MACD, Elliott Wave counts, Fibonacci levels



Source: BofA Global Research, Bloomberg (G R 11)

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Rates Alpha trade recommendations

Exhibit 25: Global Rates Trade Book - open trades
Open trades

	Open Trades	Entry Date	Entry	Target	Stop	Latest Level	Trade rationale	Risk
Europe	Short 3m2y EU vs US vol	8-Oct-26	+4bp/v	15bp/v	-7bp/v	10bp/v	Normalization of Eu vs US vol	Further EU vol outperformance
	1y fwd 2s10s real €str steepener	25-Sep-26	10	40	-10	19	Oppose large bear-flattening priced	More resilient growth
	Sell BTPei 41, buy BTPei 56 on z-spread	25-Sep-26	66	56	71	65	Extreme RV anomaly	Poorly digested supply of the longer issue
	Costless 3m2y receiver 1x2	8-Sep-26	0bp	16bp	-8bp	0bp	Fading of ECB hikes by end '26	Rally beyond downside breakeven
	1y fwd 10s20s30s payer fly	24-Jun-26	0bp	10bp	-5bp	-3.5bp	Underperformance of 20y on paying flows	Outperformance of 20y on the fly
	6m2y vs 18m2y receiver calendar	24-Jun-26	0bp	30bp	-15bp	24bp	ECB hikes near term, cuts medium term	Frontloaded cuts
	BTPei '30/'33/'36 barbell (24.1%/-100%/75.9% risk)	29-May-26	20.6	13.0	25.0	16.1	Expect summer bid for duration	Poorly digested duration supply
	Long Spain vs Portugal 2052s	13-May-26	14	5	20	17	Stronger demand for SPGBs in long-end	Spanish growth slowdown, more supply in
	Long Greece vs Italy, 2035	8-May-26	-5	-25	10	-16	Growth resilience, political stability in GR	Rating upgrade in Italy, less consolidation in GR
	1y fwd 5s20s cap ladder (rf = 56.5bp)	23-Nov-25	0bp	11.2bp	-5bp	11bp	Steepening of 5s20s curve	Steepening beyond downside BE
	1y1y otm rec spread	23-Nov-25	5bp	20bp	0bp	0bp	Hedge negative shock	Macro rebound
	5y1y ATM-25/-100bp rec spread	8-Feb-24	25bp	60bp	0	13bp	Lower ECB terminal rate, without negative carry	Better than expected EUR data
UK	Receive 10y20y real Sonia vs. real €str	20-Oct-26	130	90	150	122	Entry level, roll, UK WAM shortening	Material fiscal slippage
	1y forward 2s10s Sonia steepener	14-Oct-26	13.9	45	0	8	Too much tightening priced in	More hawkish than priced BoE
	Receive UKTi 2035-to-38 forward real yield	4-Sep-26	332	275	360	318	High entry level, RV	Material fiscal slippage
	UKTi 2031-38 forward ASW richening	7-Aug-26	101	70	115	97	Entry level, roll-down	Elevated fiscal concern
	Long UKT 7/8 2033s on ASW	6-Jul-26	38.3	25	45	39.1	Supply/demand trends	Fiscal relaxation
	UKT 1.25 '41/0.875 '46 flattener	15-Jun-26	23.4	12.0	28.0	14.8	RV, relative tax advantage	Poorly digested 20y supply
	UKT 4.375% 2028/4.875% 2036 steepener	11-Jun-26	64	85	55	62	Ahead of June MPC & by-election	Strong hawkish lean at the June MP
	UK-US 10y5y inflation narrower	10-Apr-26	91.5bp	60bp	108bp	85.4bp	Pick-up in UKTi supply, entry level, roll-down	Heavy pension bid for linkers
	Long UKT 1/8% 2028 on z-spread	21-Jan-26	-2	-20	10	-25	Retail demand	Programmatic tender of the issue
US / CA	Short 2y UST	16-Sept-26	4.73%	5.25%	4.45%	4.65%	Fed seeking a restrictive stance	Econ slowdown / jobs slow while inflation stabilizes
	2s30s flattener	16-Sept-26	62bp	40bp	100bp	64bp	Long end USTs supported by Fed inflation credibility	Dovish Fed pivot + UST stops long end support
	Long 10y20y inflation swap	8-Sept-26	2.35%	2.55%	2.20%	2.29%	Fed waits for inflation deterioration before tightening	Equity selloff and poor long-end liquidity
	Long M7 3m SOFR/FF	8-Sept-26	-2.75	0	-5	-3.75bp	Debt limit dynamics=>softer funding mid '27	Early debt limit resolution or hawkish Fed bal sheet
	3m5y vs 18m5y rec calendar	31-Aug-26	0bp	30bp	-10bp	21bp	On-hold Fed near term, cuts medium term	Frontloading of cuts
	Short 1y1y vs 1y10y vol	31-Aug-26	0bp	20bp/v	-10bp/v	-9bp	Fading of Fed hikes	Hawkish Fed repricing
	Long 30y ASW spread	19-Aug-26	-71bp	-55bp	-80bp	-63.2bp	Buybacks to richen long end UST curve vs swaps	Higher future bill issuance
	Long 2y ASW spread	25-Jun-26	-14bp	-10bp	-19bp	-13.9bp	Attractive carry trade with some resilience to risk-off	Major risk-off liquidity crunch
	1y1y vs 1y9y synthetic real yield curve flattener	25-Jun-26	6bp	-50bp	45bp	-5bp	Lower front-end inflation fwds + flatter nominal curve	Weaker data forcing Fed cuts or long-end real yields unanchoring on supply/demand concerns
	6m fwd 2s10s floor ladder (rf=23bp)	22-May-26	0bp	15bp	-10bp	9bp	Flattening on hawkish Fed	Flattening beyond downside BE = -22bp
	Short 2y CAD swap spreads vs long US	13-May-26	-4bp	+5bp	-12bp	-6.9bp	Tighter funding in CAD vs soft/stable in US	Hawkish Fed balance sheet policy
	Long Dec '26 SOFR/FF	11-May-26	-4bp	-1.5bp	-6bp	-3bp	FF rate drop to be temporary	FF drop & hawkish Fed bal sheet policy
	Short 1y1y vs 1y10y vol	1-Apr-26	-19bp	30bp	-10bp	3bp	Lower left vs right side vol	Hawkish Fed repricing
	Long 15m vs 3m rec calendar	1-Apr-26	0bp	20bp	-10bp	16bp	On hold Fed, more cuts medium term	Frontloaded cuts, hawkish fed medium term
	1y5y receiver spreads	19-Mar-26	12bp	23bp	-12bp	-12bp	Repricing of Fed policy trough	Limited to premium
	Long 20y UST butterfly	23-Jan-26	52bp	30bp	65bp	40bp	UST to reduce term premium & WAM	No WAM shortening signal & worse liquidity
	1y fwd 5s30s cap spd (rf = 64.5bp)	23-Nov-25	11.5bp	18.5bp	-11.5bp	26bp	Backend steepening, higher vol context	Steepening beyond downside BE
	18m1y vs 6m1y rec	1-May-25	0bp	30bp	-15bp	9bp	< frontloaded cuts, > backloaded cuts	>frontloaded cuts with < medium term
	3y1y rtr spd a/-50bp	6-Nov-23	23bp	50bp	-23bp	-22bp	Soft landing scenario	Capped to premium
APAC	2s10s TONA swap steepener	16-Oct-26	93	105	85	86	Positive carry and fiscal stimulus headlines	Hawkish surprise from BoJ
	Receive Dec '27 BOB	16-Oct-26	8.7bp	2bp	12bp	5bp	RBA term repos = tighter basis	Global credit risk event
	AU 2s10s flattener	11-Sep-26	36bp	10bp	50bp	35bp	Hawkish RBA	Global curve steepening
	JP long 6m1y vs 6m10y vol	1-Sep-26	+22bp/v	25bp/v	-10bp/v	5bp	Hawkish BoJ	Dovish BoJ
	JP 1y fwd 2s10s bear flattener	1-Sep-26	0bp	25bp	-10bp	4bp	Bear flattening on hawkish BoJ	Bear steepening on behind the curve BoJ
	AU 6m2y rec ladders	30-Jul-26	0bp	19bp	-10bp	1bp	On-hold RBA	Rally beyond downside BE
	Long 6m2y receivers in AU vs US	24-Jun-26	0bp	20bp	-10bp	1bp	Outperformance of AU vs US frontend	Hawkish RBA and/or dovish Fed
	JP 6m10y payer 1x2	6-May-26	0bp	30bp	-15bp	7bp	Further bearish momentum in JP curve	Limited to premium paid
	JP 6m10y payer spread	6-May-26	11bp	29bp	-11bp	6bp	Further bearish momentum in JP curve	Limited to premium paid
	JP short 6m1y payer 1x2	6-May-26	0bp	30bp	-15bp	7bp	Material hawkish BoJ repricing	Moderate underperformance vs fwds
	AU costless 1y2y rec ladder	23-Nov-25	0bp	25bp	-10bp	0bp	Dovish RBA	Rally beyond downside BE

Source: BofA Global Research
Note: (*) Target, stop, and latest level reflect PnL of trade

Exhibit 26: Global Rates Trade Book - closed trades
Closed trades

	Closed trades	Entry date	Entry level	Target	Stop	Close date	Level closed
Europe	Receive 1y2y €str vs AU OIS	3-Sep-26	175	200	160	2-Oct-26	170
	Short 10y Bunds vs swaps	11-Aug-26	4.7	1	7	25-Sep-26	8
	Long 1y5y EURi, short 1y5y EUR payer	15-Apr-26	-29	20	-60	25-Sep-26	-65
	Receive 1y5y "real Euribor" rate	8-Sep-26	118	80	140	16-Sep-26	140
	Jun27 IMM 2y Euribor-€str widener	16-Apr-26	26.7	32	23	8-Sep-26	32
	3m fwd 2s10s bull flattener	24-Jun-26	0bp	15bp	-7bp	8-Sep-26	0bp
	Long SFIH7 vs ERH7	3-Aug-26	139	120	154	3-Sep-26	129
	Receive OATei 2031-40 fwd yield	27-Mar-26	247	210	280	24-Aug-26	280
	Long Finland vs Austria 2040s	13-May-26	6.5	-3	12	21-Aug-26	12
	Long EU vs France 2035s	21-May-26	30	40	25	12-Aug-26	40
	ERZ6-Z7 flattener	25-Mar-26	-14	-50	10	22-Jul-26	10
	Short 1y1y vs 1y10y vol	8-Apr-26	-13bp	15bp	-3bp	9-Jul-26	15bp
	10y5y-15y15y EUR swaps steepener	17-Apr-26	-50	-25	-65	23-Jun-26	-38
	Long 10y Bunds	27-Mar-26	3.12	2.75	3.35	25-May-26	2.94
	1y fwd 10s20s30s payer fly	23-Nov-25	0bp	10bp	-5bp	23-May-26	0bp
	Short 3m2y payers in US vs EU	6-May-26	0bp	25bp	-13bp	21-May-26	15bp
	Short 3m2y EU vs US vol	8-Apr-26	-4bp	16bp	-19bp	11-May-26	15bp
	Long 2x1y4y EURi; rec've 1y4y €str	28-Jan-26	143	180	120	15-May-26	171
	Long 7Y France vs Belgium	10-Apr-26	21bp	10bp	28bp	29-Apr-26	20bp
	Buy 6m fwd 2s10s floor spd	11-Mar-26	Ref. 34bp	-6bp	44bp	29-Apr-26	19bp
	Pay Jun26 IMM 1y Euribor-€str basis	7-Aug-25	23.7	30	19.5	16-Apr-26	26.7
	Long 10y PGB - BGB	25-Mar-26	-13	-25	-5	8-Apr-26	16
	Receive 2y3y Euribor swaps	27-Mar-26	3.08	2.70	3.25	8-Apr-26	2.80
	Buy BTPei 28s on z-spread	27-Mar-26	24	5	35	5-Apr-26	5
	US-EZ 30y inf. sprd. widener	23-Nov-25	22	60	0	31-Mar-26	-3
	Long SARON 2y1y	19-Mar-26	36bp	0bp	55bp	24-Mar-26	30bp
	Buy 6m5y payer spreads	10-Mar-26	10.5bp	29.5bp	0bp	19-Mar-26	14.5bp
	Pay 1y1y EUR xccy basis	12-Mar-26	-3.5	0	-5.2	19-Mar-26	-5.2
	Short 6m1y payers 1x2	10-Mar-26	0bp	30bp	-10bp	18-Mar-26	8bp
	Sell OBL #192 vs. DBR Aug-46 ASW box	23-Nov-25	26	15	33	3-Mar-26	33
	Receive Mar26 ECB €str	3-Oct-25	1.86	1.65	1.95	3-Mar-26	1.95
	1y fwd 5s20s bull steepener	23-Nov-25	0bp	20bp	-10bp	13-Feb-26	3bp
	Long 3m10y vs 1y10y payer (*)	23-Nov-25	3bp	20bp	-10bp	12-Feb-26	-10bp
	Long 30y Bunds vs Netherlands	24-Nov-24	14.5	25	8	27-Jan-26	6
	Long 7y Finland vs Austria	30-Oct-25	4	-5	10	19-Jan-26	2
	Short 6m2y rec ladder	7-Jul-25	0bp	25bp	-14bp	7-Jan-26	0bp
	Receive 10y5y "real ESTR" rate	5-Sep-25	107	70	125	14-Dec-25	126
	Sell OATei 47, buy BTPei 56 on z-spread	5-Sep-25	69	40	85	4-Dec-25	38
	Sell 2055 TIPS, buy 2056 BTPei	8-Oct-25	12	-20	28	23-Nov-25	0bp
	2y3y/5y5y Euro inflation steepener	2-May-25	20.0	35.0	10.0	23-Nov-25	16bp
	US-Euro 2y3y inflation widener	1-Jul-25	38	70	20	23-Nov-25	47bp
	Long 10y Bunds	2-Sep-25	2.80%	2.40%	3.05%	21-Nov-25	2.68%
	Short 5y German swap spreads	11-Jul-25	6.5	0	12	17-Nov-25	12
	Receive 10y5y €str	2-Sep-25	3.4%	3%	3.7%	30-Oct-25	3.19%
	6m 2s10s floor ladder	7-Jul-25	63bp	51.4bp	70bp	27-Oct-25	50bp
UK	UKT 2044/68 curve flattener	15-May-26	-1.1	-12.0	6.0	21-Sep-26	-12
	Receive UKTi 2036-55 forward real yield	25-Jun-26	259	300	200	23-Jul-26	300
	Pay June MPC-dated Sonia	8-May-26	3.82	3.98	3.73	18-Jun-26	3.74
	RPI 1y1y/2y2y flattener	24-Apr-26	-7	-30	10	13-Jun-26	13
	Receive 4y5y Gilt yield vs. Sonia	15-Jan-26	72	45	87	1-May-26	72
	UKTi 2058/68 real curve flattener	1-Jul-25	-12.7bp	-22bp	-7bp	29-Apr-26	-16.1bp
	Pay Jul'26 vs. rec Apr'27 MPC Sonia	2-Apr-26	14	-15	25	17-Apr-26	5
	Receive 1y real Sonia vs real Estr	20-Mar-26	36	-25	65	31-Mar-26	-6
	Long UKTi 2039 BEI	20-Nov-25	286	325	265	9-Mar-26	322
	Long G vs. RXA invoice spd	23-Nov-25	52bp	32bp	62bp	27-Feb-26	32bp
	Long SFIH7 futures	11-Feb-26	3.36	3.25	3.42	26-Feb-26	3.25
	Pay Feb'26 vs. Jun'26 MPCs	23-Nov-25	-24bp	-40bp	-17bp	6-Feb-26	-33.5bp
	Pay 10y Sonia vs long 30y Gilt	19-Sep-25	139bp	120bp	155bp	5-Dec-25	120bp
	Rec fwd UKTi real rates/pay fwd TIPS real rates	14-May-25	22bp	-40bp	50bp	4-Dec-25	-41bp
	Pay 1y1y "real Sonia"	24-Oct-25	11	30	0	24-Nov-25	30
	1s2s RPI flattener	2-Oct-25	6.5	-25.0	25.0	24-Nov-25	14
	Long 30y Gilt on ASW	2-May-25	91	75	100	14-Nov-25	85
	Long UKTi 2027s on z-spread	5-Sep-25	15	0	23	30-Oct-25	24
US / CA	Pay Oct FOMC OIS	8-Oct-26	3.925%	4.00%	3.88%	14-Oct-26	4.02%
	Long 5-30 CAD vs short US 5-30 steepener	8-Sept-26	4bp	20bp	-10bp	24-Sep-26	16.5bp
	1y5y rec spread	23-Nov-25	14.5bp	25.5bp	-14.5bp	24-Sep-26	-10bp
	1y fwd 5s30s bear steepener	31-Aug-26	0bp	25bp	-10bp	24-Sep-26	-10bp
	Long 5y UST	14-Aug-26	4.32%	3.90%	4.60%	10-Sep-26	4.75%
	Long 5y5y inflation swap	31-Jul-26	2.39%	2.56%	2.25%	8-Sep-26	2.44%
	5s30s steepener	14-Aug-26	89bp	110bp	70bp	8-Sep-26	70bp

Exhibit 26: Global Rates Trade Book - closed trades
Closed trades

	Closed trades	Entry date	Entry level	Target	Stop	Close date	Level closed
	CORRA U6-M7 flattener	14-Aug-26	57bp	35bp	75bp	4-Sep-26	75bp
	Paid Jan '27 FOMC OIS	29-Jul-26	4.02%	4.40%	3.70%	28-Aug-26	4.08%
	2s10s flattener	8-Jun-26	38bp	15bp	60bp	14-Aug-26	50bp
	Short 2y UST	18-May-26	3.87%	4.25%	3.70%	14-Aug-26	4.12%
	Long 2y CA vs short 2y US	23-Jun-26	140bp	190bp	100bp	14-Aug-26	121bp
	2s10s CAD swaps steepener vs USD flattener	13-Mar-26	35bp	65bp	5bp	14-Aug-26	41bp
	1s2s inflation curve flattener	28-May-26	-19bp	-45bp	0bp	7-Aug-26	2bp
	Short July '26 SOFR/FF	9-Jun-26	-0.5bp	-2bp	2bp	31-Jul-26	1.25bp
	Short 10y UST vs Bunds	6-May-26	134.5bp	160bp	120bp	1-Jul-26	160bp
	Long 3m1y rec in US vs EU	1-Apr-26	0bp	20bp	-10bp	1-Jul-26	-8bp
	Long 2y inflation swap	28-May-26	2.83%	3.10%	2.65%	19-Jun-26	2.65%
	Long CORRA Z6 vs Short SOFR Z6	5-Jun-26	126bp	160bp	100bp	18-Jun-26	156bp
	6m fwd 2s10s bear steepeners	1-Apr-26	0bp	25bp	-10bp	18-Jun-26	-10bp
	2s5s flattener	21-May-26	13bp	0bp	30bp	8-Jun-26	12bp
	1y fwd 5s30s steepener	23-Nov-25	0bp	20bp	-10bp	4-Jun-26	-10bp
	5s30s steepener	13-Mar-26	101bp	130bp	80bp	4-Jun-26	82bp
	2y1y receiver ladder	25-Jan-25	0bp	50bp	-10bp	4-Jun-26	17bp
	6m2y risk reversals	19-Mar-26	0bp	25bp	-10bp	21-May-26	-10bp
	Long 5y synthetic RY	23-Nov-25	91bp	40bp	125bp	21-May-26	125bp
	Short June '26 SOFR/FF	13-May-26	0.5bp	-1bp	2bp	19-May-26	2bp
	Long 5y5y inflation swap	26-Mar-26	2.34%	2.55%	2.20%	8-May-26	2.46%
	6m fwd 2s10s floor ladder (rf = 52.5bp)	23-Nov-25	0bp	9.75bp	-5bp	21-May-26	5bp
	6m2y payer ladders (*)	23-Nov-25	0bp	18bp	-10bp	21-May-26	-10bp
	Long CORRA Z6	1-May-26	2.83%	2.29%	3.10%	13-May-26	2.81
	Long 30y swap spread	5-May-26	-81bp	-71bp	-84bp	6-May-26	-78bp
	Long Dec '26 SOFR/FF	5-Feb-26	-6bp	-3bp	-9bp	6-May-26	-3.5bp
	Long 2y swap spread	23-Nov-25	24bp	15bp	30bp	5-May-26	14bp
	Receive SOFR M8	13-Mar-26	3.41%	2.75%	3.70%	1-May-26	3.57%
	6m10y payer ladder	22-Oct-25	0bp	20bp	-10bp	7-Apr-26	16bp
	Receive Jun FOMC OIS	19-Mar-26	3.65%	3.4%	3.78%	2-Apr-26	3.64%
	Long Jun '26 SOFR/FF	13-Jan-26	-4bp	-1bp	-7bp	30-Mar-26	-2.5bp
	1y1y SOFR/FF widener	23-Nov-25	-5.25bp	-1bp	-8bp	30-Mar-26	-5bp
	1y5y inflation curve flattener	6-Mar-26	-38bp	-75bp	-15bp	20-Mar-26	-75bp
	Sell 1y1y vs 1y10y vol	14-Aug-25	+4bp/v	15bp/v	-5bp/v	26-Mar-26	-5bp/v
	Receive Jan FOMC OIS	12-Dec-25	3.60%	3.44%	3.70%	18-Mar-26	3.65%
	Long 10y BE	23-June-25	234bp	255bp	220bp	13-Mar-26	239bp
	2y30y inflation swap flattener	26-Feb-26	1bp	-30bp	20bp	6-Mar-26	-27bp
	Pay Jun FOMC OIS	12-Feb-26	3.45%	3.64%	3.30%	6-Mar-26	3.50%
	Long 30y swap spread	3-Feb-26	73bp	60bp	80bp	4-Mar-2026	79bp
	Receive SOFR Z7	31-Oct-25	3.18%	2.50%	3.65%	27-Feb-26	3.05%
	Sell 3m1y vs 15m1y rec	23-Nov-25	4.5bp/v	20bp	-10bp	27-Feb-26	72bp
	5s30s steepener	23-Nov-25	108bp	150bp	75bp	23-Feb-26	110bp
	2s10s CAD steepener vs USD flattener	8-Jan-26	21bp	50bp	5bp	15-Jan-26	25bp
	Long Jan SOFR/FF	15-Sep-25	-6.5bp	-2bp	-11bp	8-Jan-26	-4.5
	CAD 2s10s steepener	23-Nov-25	74.5bp	90bp	50bp	8-Jan-26	84bp
	1y1y receiver 1x1.5	12-Dec-24	9bp	60bp	-15bp	12-Dec-25	2bp
	Long 3m CORRA Z6 futures	23-Nov-25	2.32%	2.00%	2.50%	5-Dec-25	2.60%
	SOFR H6H7 flattener	11-Sep-25	-53bp	-75bp	-35bp	26-Nov-25	-58bp
	6m5y payer ladder	23-May-25	0bp	27bp	-10bp	24-Nov-25	0bp
	1y1y straddles vs strangles	24-Nov-24	+0.31%	20bp v	-10bp v	20-Nov-25	0.036%
	1y fwd 5s30s bear steepener	24-Nov-24	0bp	30bp	-15bp	20-Nov-25	27bp
	Long 5y30y vol vs 2y30y vol	24-Nov-24	+5.5bp v	15bp v	-10bp v	13-Nov-25	15bp
	6m fwd 2s10s floor ladder	1-May-25	46bp	17bp	-10bp	1-Nov-25	31bp
	Paid April '26 FOMC OIS	19-Sep-25	3.31%	3.65%	3.05%	29-Oct-25	3.47%
	2s10s flattener	19-Sep-25	55bp	30bp	70bp	29-Oct-25	46bp
	Long 30y JGB ASW	24-Jul-26	45bp	35bp	52bp	16-Oct-26	39bp
	Nov RBA OIS	23-Sep-26	9bp	25b	3bp	15-Oct-26	4bp
	Pay 2y 6s3s	17-Jul-26	22bp	27bp	19bp	9-Oct-26	26.375bp
	AU 6m fwd 5s30s bear steepener	30-Jul-26	0bp	20bp	-10bp	24-Sep-26	-10bp
	Pay Sep RBA OIS	26-Aug-26	8bp	25bp	1bp	23-Sep-26	21bp
	Buy Mar '27/ Mar '28 flatteners	21-Aug-26	-12bp	-20bp	-7bp	4-Sep-26	-11bp
	JP long 6m2y rtp vs KR 6m2y OTM rtp	8-Jun-26	0bp	25bp	-10bp	4-Sep-26	32bp
	AU short 6m1y vs 18m1y rec calendar	11-May-26	0bp	30bp	-10bp	4-Sep-26	21bp
	AU 6m1y risk reversal	24-Jun-26	0bp	15bp	-7bp	4-Sep-26	-7bp
	JP costless 6m5y receiver ladder	3-Feb-26	0bp	12bp	-5bp	4-Sep-26	0bp
	JP Costless 1y2y payer ladder	23-Nov-25	0bp	18bp	-10bp	4-Sep-26	-10bp
	Buy QTC July 2037 on matched maturity swap	6-Aug-26	63bp	55bp	68bp	4-Sep-26	60bp
	Buy NSWTC May 2027 on matched maturity swap	6-Aug-26	10bp	2bp	15bp	4-Sep-26	9bp
APAC	AUD 10y long	10-Feb-26	4.88%	4.3%	5.15%	4-Sep-26	5.15%
APAC	AU short 1y1y vs 1y10y vol	24-Jun-26	-3bp/v	10bp	-5bp	23-Jul-26	-10bp

Exhibit 26: Global Rates Trade Book - closed trades
Closed trades

Closed trades	Entry date	Entry level	Target	Stop	Close date	Level closed
Long AU 2y1y, short US 2y1y, pay Sep/Dec RBA	18-Jun-26	49bp	23bp	62bp	24-Jul-26	64bp
Pay 3y swap EFP (q/q)	28-May-25	-9.5bp	10bp	-19.5bp	24-Jul-26	-1.5bp
Pay Jan BOJ OIS/Receive Dec RBA OIS	10-Jun-26	325bp	290bp	345bp	10-Jul-26	322bp
Receive 6m6m AONIA/SOFR	10-Jun-26	11.3bp	4bp	15bp	10-Jul-26	7bp
Receive 1y1y AONIA/SOFR basis swap	23-Nov-25	14bp	5bp	18.5bp	10-Jul-26	11bp
AU 1y forward 2s10s flattener	8-May-26	47bp	29bp	57bp	3-Jun-26	54bp
Selling Japan invoice spread	10-Apr-26	-10.3	-13.5	-8.7	22-May-26	-9.8
Short 5yr JGB on ASW	1-Dec-25	5	15	0	22-May-26	4.1
Pay RBA OIS May	30-Apr-26	19bp	25bp	16bp	5-May-25	25bp
U6U7 flattener	27-Mar-26	-1bp	-25bp	12bp	5-May-26	-5bp
JP long 1y1y vs 1y10y vol (*)	23-Nov-25	11bp	15bp	-8bp	26-Mar-26p	-10bp
JP 1y fwd 2s30s bear flattener	23-Nov-25	0bp	20bp	-10bp	26-Mar-26p	20bp
May/Dec '26 RBA OIS flattener	9-Mar-26	32bp	12bp	42bp	19-Mar-26	42bp
Long 6m20y payers JPY vs AUD	21-Aug-25	0bp	20bp	-10bp	27-Feb-26	6bp
Long 9m2y rec spd US vs AU rec	23-Nov-25	0bp	30bp	-10bp	12-Feb-26	8bp
Long Japan 10-year BEI	23-Nov-25	160bp	190bp	167bp	13-Feb-26	190bp
Long OTR JGBi 2030 BEI	23-Nov-25	155bp	170bp	147bp	13-Feb-26	190bp
Buy 30y ACGBs vs. 30y JGBs	23-Nov-25	163bp	100bp	194bp	16-Jan-26	168bp
AU 3s7s flattener vs. CAD steepener	23-Nov-25	24.5bp	15bp	45bp	5-Dec-25	19bp
Buy TCV 5.5% Sep 2039, pay 10y swap	15-May-25	133bp	100bp	148bp	25-Nov-25	99bp
JP 1y2y payers spd vs 1y10y payers	24-Nov-24	0bp	40bp	-15bp	20-Nov-25	-2bp
JP 1y5y payer ladders	24-Nov-24	0bp	28bp	-10bp	20-Nov-25	17bp
Long 6m5y payer spd USD vs KRW	23-Sep-25	0bp	25bp	-10bp	20-Nov-25	-10bp
Long 20y AU semis, short 20y JGBs	18-Aug-24	289bp	200bp	330bp	14-Nov-25	282bp
AU IR H6/H7 steepener	30-Oct-25	0bp	25bp	-12bp	13-Nov-25	13bp
Pay AU 10y invoice spread vs US	30-May-25	40bp	60bp	25bp	23-Nov-25	44bp
KR 1y fwd 2s10s bull steepeners	24-Nov-24	0bp	25bp	-10bp	6-Nov-25	7bp
Pay Nov RBA OIS	4-Nov-25	19bp	0bp	25bpbp	4-Nov-25	0bp
Pay 6m1y, receive 1y5y swaps	30-Oct-25	62bp	38bp	74bp	30-Oct-25	60.7bp

Source: BofA Global Research

Global rates forecasts

Exhibit 27: Latest levels and rate forecasts
Forecasts by quarter up to YE '27 plus YE 2028

		Latest	YE 26	Q1 27	Q2 27	Q3 27	YE 27		YE 28
USA	O/N SOFR	3.88	4.41	4.41	4.41	4.41	4.41		4.41
	2y T-Note	4.64	5.00	4.95	4.90	4.85	4.75		4.50
	5y T-Note	4.77	5.00	4.95	4.90	4.85	4.75		4.60
	10y T-Note	**4.95**	**5.00**	**4.95**	**4.90**	**4.85**	**4.75**		**4.75**
	30y T-Bond	5.28	5.25	5.20	5.20	5.15	5.10		5.15
	2y Swap	4.47	4.85	4.82	4.77	4.72	4.62		4.37
	5y Swap	4.44	4.67	4.60	4.55	4.50	4.40		4.25
	10y Swap	**4.52**	**4.43**	**4.40**	**4.35**	**4.30**	**4.20**		**4.20**
	30y Swap	4.60	4.42	4.35	4.35	4.30	4.25		4.30
Germany	3m Euribor	2.68	2.90	2.90	2.80	2.55	2.30		1.70
	2y BKO	3.04	3.20	3.00	2.80	2.55	2.30		1.85
	5y OBL	3.14	3.35	3.20	3.00	2.75	2.55		2.15
	10y DBR	**3.33**	**3.40**	**3.25**	**3.10**	**2.90**	**2.80**		**2.50**
	30y DBR	3.68	3.70	3.50	3.40	3.20	3.10		2.85
	2y Euribor Swap	3.38	3.40	3.20	3.00	2.70	2.45		1.95
	5y Euribor Swap	3.42	3.50	3.30	3.10	2.80	2.60		2.15
	10y Euribor Swap	**3.47**	**3.50**	**3.30**	**3.15**	**2.90**	**2.80**		**2.45**
	30y Euribor Swap	3.28	3.40	3.30	3.20	3.00	2.95		2.70
Japan	TONA	1.23	1.48	1.73	1.73	1.98	1.98		1.98
	2y JGB	1.91	1.95	2.20	2.20	2.35	2.30		2.20
	5y JGB	2.29	2.40	2.65	2.65	2.75	2.65		2.55
	10y JGB	**2.87**	**3.00**	**3.10**	**3.10**	**3.15**	**3.05**		**2.95**
	30y JGB	3.90	4.10	4.15	4.15	4.15	4.05		3.95
	2y Swap	1.86	2.03	2.28	2.28	2.40	2.35		2.25
	5y Swap	2.25	2.48	2.70	2.70	2.78	2.68		2.58
	10y Swap	**2.74**	**2.85**	**3.00**	**3.00**	**3.10**	**3.00**		**2.93**
U.K.	3m Sonia	3.99	4.25	4.50	4.25	4.25	4.00		3.50
	2y UKT	4.89	4.80	4.95	5.00	4.75	4.50		3.75
	5y UKT	4.96	4.85	4.90	4.90	4.75	4.75		4.75
	10y UKT	**5.33**	**5.20**	**5.25**	**5.25**	**5.25**	**5.25**		**5.25**
	30y UKT	5.72	5.70	5.70	5.70	5.70	5.70		5.70
	2y Sonia Swap	4.69	4.65	4.75	4.75	4.50	4.25		3.50
	5y Sonia Swap	4.74	4.65	4.65	4.65	4.50	4.50		4.50
	10y Sonia Swap	**4.86**	**4.75**	**4.75**	**4.75**	**4.75**	**4.75**		**4.75**
Australia	3m BBSW	4.84	4.60	4.60	4.60	4.35	4.10		3.60
	2y ACGB	4.86	4.80	4.75	4.65	4.55	4.45		4.25
	5y ACGB	4.90	4.80	4.75	4.70	4.65	4.60		4.45
	10y ACGB	**5.18**	**5.15**	**5.10**	**5.05**	**5.00**	**4.95**		**4.80**
	3y Swap	4.85	4.90	4.85	4.75	4.65	4.55		4.35
	10y Swap	**5.30**	**5.25**	**5.20**	**5.15**	**5.10**	**5.05**		**4.90**
Canada	2y Govt	3.23	3.55	3.65	3.70	3.75	3.80		3.80
	5y Govt	3.51	3.70	3.75	3.80	3.85	3.85		3.95
	10y Govt	**3.79**	**4.00**	**4.05**	**4.05**	**4.10**	**4.10**		**4.20**
	2y Swap	3.16	3.50	3.60	3.65	3.70	3.75		3.75
	5y Swap	3.34	3.55	3.60	3.65	3.70	3.75		3.80
	10y Swap	**3.57**	**3.75**	**3.80**	**3.80**	**3.85**	**3.85**		**3.95**

Source: BofA Global Research

Appendix: Common acronyms

Exhibit 28: Common acronyms/abbreviations
This list is subject to change

Acronym/Abbreviation	Definition	Acronym/Abbreviation	Definition
ann	annualized	IT	Italy
APF	Asset Purchase Facility	NADEF	Nota Aggiornamento Documento Economia e Finanza
APP	Asset Purchase Programme	NFR	Net Financing Requirement
AS	Austria	lhs/LS	left-hand side
BdF	Banque de France (Bank of France)	MA	Moving Average
BE	Belgium	MACD	Moving average convergence/divergence
BEA	Bureau of Economic Analysis	MBM	Meeting-by-meeting
BLS	Bank Lending Survey	mom	month-on-month
BoE	Bank of England	MPC	Monetary Policy Committee
BoI	Banca d'Italia (Bank of Italy)	MWh	Megawatt-hour
BoJ	Bank of Japan	NBFI	Non-bank financial institution
BoS	Banco de España (Bank of Spain)	NGEU	NextGenerationEU
bp	basis point	NE	Netherlands
BTP	Buoni Poliennali del Tesoro	NRRP	National Recovery and Resilience Plan
Buba	Bundesbank	NSA	Non-seasonally Adjusted
c	circa	NS&I	National Savings & Investment
CA	Current Account	OAT	Obligations assimilables du Trésor
CB	Central Bank	OBR	Office for Budget Responsibility
CNRF	Contingent Non-Bank Financial Institution Repo Facility	OECD	Organisation for Economic Co-operation and Development
CPI	Consumer Price Index	ONS	Office for National Statistics
CSPP	Corporate Sector Purchase Programme	OBR	Office for Budget Responsibility
CGNCR	Central Government Net Cash Requirement	p	preliminary/flash print
GE	Germany	PBoC	People's Bank of China
DMO	Debt Management Office	PEPP	Pandemic Emergency Purchase Programme
DS	Debt sustainability	P&I	Pension and Insurance
DXY	US Dollar Index	PMI	Purchasing Managers' Index
EA	Euro area	PMRR	Preferred Minimum Range of Reserves
EC	European Commission	PPF	Pension Protection Fund
ECB	European Central Bank	PRT	Pension Risk Transfer
ECJ	European Court of Justice	PSPP	Public Sector Purchase Programme
EFSF	European Financial Stability Facility	PT	Portugal
EGB	European Government Bond	QE	Quantitative Easing
EIB	European Investment Bank	qoq	quarter-on-quarter
EMOT	Economic Mood Tracker	QT	Quantitative Tightening
EP	European Parliament	RBA	Reserve Bank of Australia
SP	Spain	RBNZ	Reserve Bank of New Zealand
ESI	Economic Sentiment Indicator	rhs/RS	right-hand side
ESM	European Stability Mechanism	RPI	Retail Price Index
EU	European Union	RRF	Recovery and Resilience Facility
f	final print	RSI	Relative Strength Index
FPC	Financial Policy Committee	SA	Seasonally Adjusted
FR	France	SAFE	Survey on the access to finance of enterprises
FY	Fiscal Year	SMA	Survey of Monetary Analysts / Simple moving average
GC	Governing Council	SNB	Swiss National Bank
GDP	Gross Domestic Product	SPF	Survey of Professional Forecasters
GNI	Gross National Income	STR	Short Term Repo
GFR	Gross Financing Requirement	SURE	Support to mitigate Unemployment Risks in an Emergency
GR	Greece	TFSME	Term Funding Scheme with additional incentives for SMEs
GSB	Green Savings Bond	TLTRO	Targeted Longer-term Refinancing Operations
HICP	Harmonised Index of Consumer Prices	TPI	Transmission Protection Instrument
HMT	His Majesty's Treasury	TTF	Title Transfer Facility
IMF	International Monetary Fund	UST	US Treasury
INSEE	National Institute of Statistics and Economic Studies	WDA	Work-day Adjusted
IP	Industrial Production	yoy	year-on-year
IR	Ireland	ytd	year-to-date
IGFR	Illustrative Gross Financing Requirement	DV01	Dollar value of a one basis point change in yield
PCA	Principal Component Analysis	WAM	Weighted Average Maturity
IG	Investment Grade		

Source: BofA Global Research

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